Monetary policy - control money supply
Central Bank oversees monetary policy

Fiscal policy - setting budget
Treasury Department oversees budget in USA

Revenues => Taxes
- Costs - Government spending (military, transportation, education, etc)

when government's spending > taxes, Treasury Department issues Treasury Securities (government bonds)
Treasuries are issued and traded in financial markets and their return is called YIELD

-> Treasury Dept. issued a bond 2005

at 8%, in 2015 it's coming due, they will roll debt and prevailing interest rates are 4%.
→ good scenario

→ what is situation is flipped
the government has to roll debt at higher interest
Can the Eurozone Crisis Eurozone Crisis

Economic Reasons
- high debt/GDP and growing → poor fiscal discipline
- banks leveraged
- economies were all linked
- low taxes

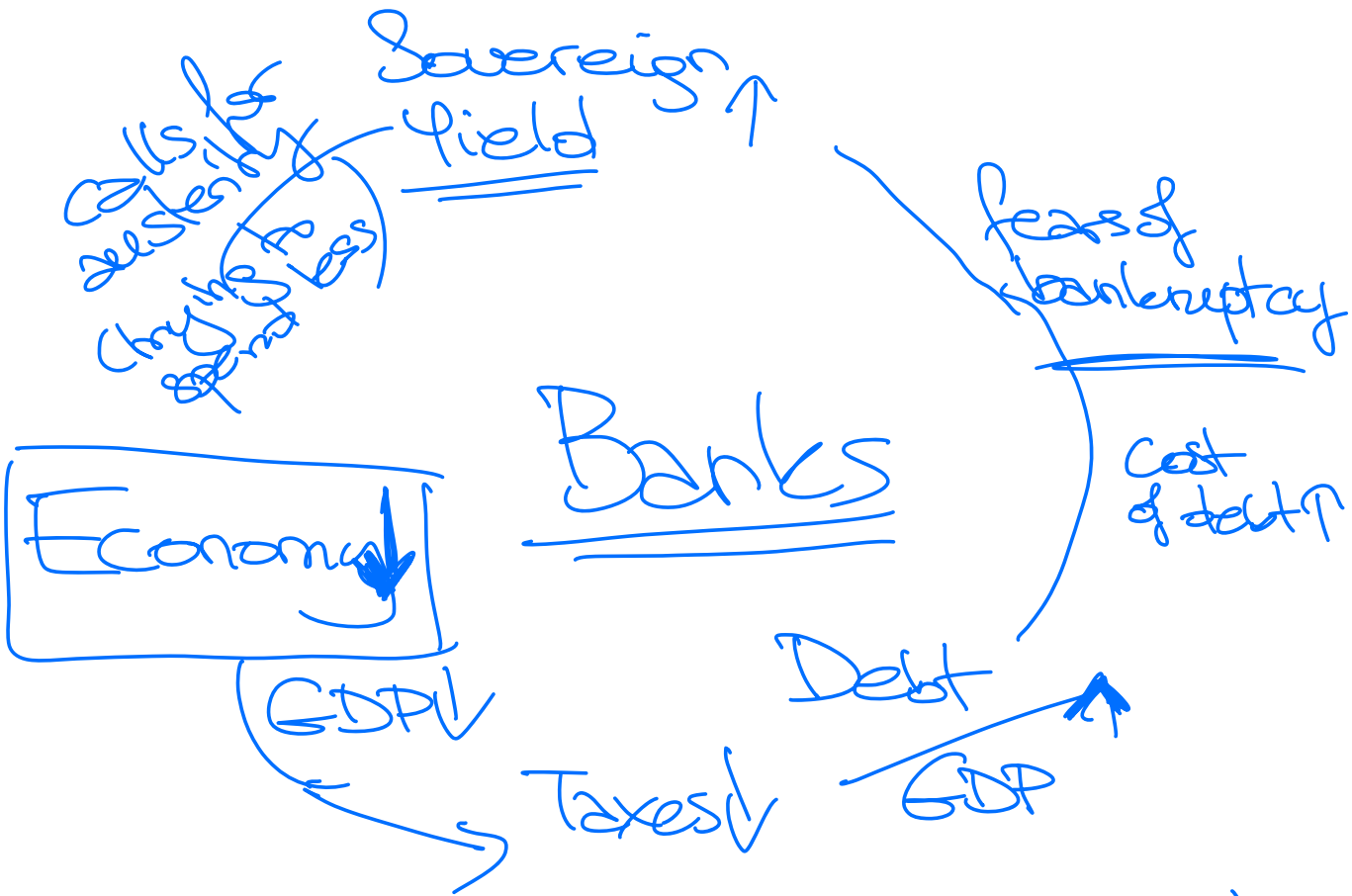
Political Reasons
- no integration in fiscal policy
- blockages of bailouts by other countries: no unified vision that could look at the benefit of Eurozone vs individuals

- politicians were inconsistent & ineffective

Cultural:

- each cultural deeply individual
- differences in approach to social programs (excessive welfare states)
  → high spending ⇒ increasing debt/GD
- German fear of inflation
- living beyond their means

Crisis Feedback Loops



→ with leverage, cost of debt (interest) increases to adjust for bankruptcy risk

→ Markets calmed down with Long-Term Financing Operation

Bank's Role in Crisis

Victims

→ They were holding government securities that should be risk free

→ They played within the rules, loaning out funds, buying government securities

Culprits

→ promoted bad spending habits & too much leverage

→ Banks themselves were overleveraged

→ Banks added high risk premia to LTFD even though

they were supposed to be low interest